

Towards better enforcement by regulatory agencies

Preliminary draft. Please do not circulate

August 31, 2020

Contents

1	Introduction	3
2	Principles of administrative law	5
2.1	Right to be heard	6
2.1.1	Notice	6
2.1.2	Examination of material and cross examination	7
2.2	Separation of powers	8
3	How does SEBI perform on due process?	9
3.1	Evaluating SEBI	10
3.1.1	Notice	10
3.1.2	Examination of materials	11
3.2	What might be the problem?	12
3.3	Separation of powers at SEBI	14
4	International experience	15
4.1	The structure of enforcement	15
4.2	Processes for better enforcement	17
4.2.1	Notice	17
4.2.2	Separation of powers	18
4.2.3	Examination of materials	19
4.3	ICO's enforcement powers under the DPA, 2018	20
5	Implications for the design of the DPA	21
5.1	Enforcement by the DPA	22
5.2	Recommendations	24
6	Conclusion	27
6.1	Enforcement notices	29

6.2 Penalty notices 30

1 Introduction

India is very close to establishing yet another regulator - the Data Protection Authority (DPA) - that will implement the provisions under the (draft) Personal Data Protection Bill, 2019. This is one example of the growing trend, not only in India but across the world, to empower agencies with legislative, executive and judicial mandates. Such agencies are expected to draft subordinate legislation, be responsible for licensing and enforcement actions, and also adjudicate on investigations usually carried out by itself. And yet, these agencies do not have to face the people's mandate every few years. This has led to concerns about the dilution of accountability at the "new administrative state" (DeMuth, 2016; Giandomenico, 1998; Scott, 2000). Questions on checks and balances and due process that were reasonably settled in liberal democracies when it came to government functioning are now being debated once again w.r.t regulators.

India is no exception to such concerns. For example, Roy, Shah, Srikrishna, and Sundaresan (2019) argue that Indian regulators have too often veered into controlling as opposed to regulating, and that enforcement has been selective and weak, and failed to adequately follow the rule of law especially on due process. If enforcement falls short of following the principles of natural justice, then not only is there a welfare loss to the subjects of the enforcement action, but also to the overall cost of doing business. If regulated entities do not find a sense of "fairness" as well as "certainty" about the procedure, then this subjects them to harassment, and potentially drives out several businesses from entering the marketplace in the first place.

While there has been some research in evaluating regulators in India on their regulation making functions (Burman & Zaveri, 2018), there is to the best of our knowledge no analysis on whether and how regulators actually adhere to principles of natural justice in their enforcement and adjudication functions. Understanding how enforcement is taking place, and whether there is an inherent problem in the structure of enforcement is important to study as we build regulators and place cross-sectoral mandates on them.

In this paper we evaluate how the capital markets regulator, the Securities Exchange Board of India (SEBI) fares on issues of natural justice as it performs its enforcement functions. We focus on SEBI as it has relevance for the design of the DPA. The Justice Srikrishna Committee Report on data protection, refers to a number of Indian regulators, such as TRAI, SEBI, CCI etc, when making recommendations for the DPA. Among the regulators discussed in the report, we found that SEBI has been considered the most effective, as far as its enforcement actions are concerned. Natural justice is a vast area, and we focus on three elements of natural justice - how are notices served, whether parties are allowed to examine material and cross-examine witnesses, and whether there is separation of powers, especially between the investigation and

adjudication functions in the structure of SEBI. We use data on cases at the Securities Appellate Tribunal (SAT) and find evidence of several procedural failures at SEBI.

We then ask why is it that there are such procedural failures? Legislation in India confers certain powers of a civil court to a regulatory agency, and expects that the regulator will comply with the principles of natural justice. There is, however, no guidance on how regulators should comply with these principles (Sundaresan, 2018). What would improve these processes? We look at the structure of regulators in other countries - namely the US and the UK, and find that the processes that Indian law just assumes will be followed, are actually codified in laws, regulations and process manuals in these countries. Since the main regulator studied here was SEBI, our international comparison mostly emphasises comparable regulators in the US and the UK such as the Securities Exchange Commission and the Financial Conduct Authority respectively. We also study the ICO which is a data protection regulator in the UK.

This codification of processes for natural justice is an important lesson as we design the new data protection regulator. As per the draft Bill, the DPA has the power to either *suo motu* or on a complaint take action against a data fiduciary or a data processor who may be violating the law. The DPA can, among other things, issue directions, call for information, conduct inquiries, issue orders for injunctive relief, suspend or cancel the registration of businesses. The DPA is also in a unique position given that the scope of its "regulated entities" will be, arguably, more extensive than any of the regulators previously established in India.¹ While the harms from non compliance of regulations in other sectors, could lead to fall-outs for the public in general, the entities that are regulated share certain common characteristics. They are usually identifiable (because of registration requirements). Further, given their resources, they are well poised to engage in legal processes with their regulators.

In the case of the DPA, the regulated entity is anyone who collects data for a commercial use, with a turnover of more than INR 20 lakh annually. This would cover anyone from small time telemarketers to social media behemoths. There is an asymmetry of power between the regulator and the regulated entity. This asymmetry is exacerbated when the entities have not engaged with the regulatory processes before and there is a lack of awareness and familiarisation of such issues. In the adversarial system that the Indian litigants are used to, the demand for rights is made against the other party, before an impartial judge. This means that even if the opposing party is a state entity, there is no apprehension that any consequences will follow from prejudicing the other party. This context is visibly altered in regulatory entities since the entity being demanded a procedural right against is the same that judges the cause. This could

¹Existing regulators in India are sector specific, such that specifically deal with the financial sector (SEBI, PFRDA, IRDA etc) or the infrastructure sector (TRAI, CERC, AERA etc).

lead to a very real apprehension that raising such demands would prejudice the decision maker against the regulated entity. In such a context, pointing out to the regulator that due process has not been followed, will require the entity to indulge in the resource intensive process of raising the plea at the tribunal level. Second, even if the plea is successful, it will lead to the case being remanded back, from which another round of resource intensive legal engagement would follow. Given this, it is arguable, that an entity may find it more penalising to point out a procedural issue, engage in the legal process again and wait for a variable outcome than accepting the penalty that has been levied in the first go itself.

Failures of following due process in enforcement will have consequences that may be damaging to the ease of doing business, to the digital and start-up ecosystem in India damaging India's chances of dominance in these spheres, and most importantly to justice and dignity of all those who are regulated entities. We, therefore, present some recommendations on how processes of natural justice should be codified within the structure of the DPA so that there is adequate guidance to the regulator as it discharges the enforcement function, as well as to the broader community as it continuously evaluates the performance of the regulator on these counts. Lastly, we hope that this sets the precedent for existing regulators in India to examine their own processes and pave way for change.

2 Principles of administrative law

The study of whether enforcement is working requires the study of not only the contents of the final order that holds the outcome, but also each phase of the regulatory activity that culminates in the final order. After all, an order is good or bad depends on whether it is a product of following "due process".

The underlying principle of due process is "rule of law". Broadly, rule of law means exercise of public power without arbitrariness. The Constitution of India embodies this rule under Article 21, which provides that no person will be deprived of his life and liberty without procedure established by law. While the protection enshrined had been initially narrowly formulated to guard against differential treatment of similarly placed entities, in *E.P. Royappa*, the Court expanded its protection considerably by holding that Article 14 is an antithesis to "arbitrariness". That power should not be exercised "arbitrarily" has been formulated in a variety of ways. First, that the power should be exercised for the purposes it has been conferred. Second, power should be exercised within its statutory ambit. Indian courts have gone further than this simple negation to insist on specific positive content of the rule of law obligations. In relation to quasi judicial action of administrative agencies, this takes the form of insistence of following

the principles of natural justice.

The classical formulation of natural justice encompasses two principles, first, *audi alteram partem* i.e. a person affected has a right to be heard, second, *nemo iudex in re sua* i.e. the authority deciding the matter should be free from bias and third, that the order presented should be a reasoned one. Both these principles have encompassed judicially formulated components over the years. In the subsequent discussion, we narrow down to the three issues of notice, cross examination and bias.

2.1 Right to be heard

The right to a hearing has been historically seen as a necessity of justice particularly in relation to an action which has the effect of adjudicating rights or status through use of public power. Indian courts have devoted considerable time in assessing whether or not a right of hearing is warranted in a certain administrative proceeding.

2.1.1 Notice

A basic requirement for a fair hearing is a proper defence which can be made only if the allegations are known. A notice serves the function of apprising the party the case it has to meet. The Supreme Court has dealt with the issue in several cases concerning various aspects of the notice. The following general principals can be culled regarding a valid notice:

- Notice must be properly served on the concerned person i.e. it must give sufficient time to enable the individual to prepare his case.²
- Notice must be adequate as regards the details of the case so that the noticee gets an adequate opportunity to represent against the impugned action.
- Notice must be adequate as to the factual details of the case. For example, a notice in bare bone language of the statute i.e. which merely repeats the statutory language without giving any facts and other particulars is insufficient and inadequate.³ Some illustrative conditions in which the notice is held to be suffering from vagueness are:
 - If the charge-sheet mentions action is being taken against the employee on the basis of fraud, without mentioning the particulars of fraud.
 - If the notice does not mention the date, time and location of the incident.
 - Mentions the charges without mentioning the action proposed to be taken.
- It should fully mention all the grounds on which action is to be taken against the noticee.

²See, *Canara Bank v. Debasis Das*, (2003) 4 SCC 557.

³*Nasir Ahmed v. Asst. Custodian-General, Evacuee Property*, (1980) 3 SCC 1.

In case notice mentions the ground, but action is taken on a different ground, the notice is not deemed to be valid.⁴ It is invalid if it mentions several grounds without specifying the particular ground for the proposed adverse action.

A regulator must also be duty-bound to provide material that may undermine the charge as such material would be “relevant” to a judicial finding.

2.1.2 Examination of material and cross examination

A fundamental principle of natural justice is that the adjudicatory body should decide the case only on the basis of material placed before it in the course of proceedings. The right to know what materials have been placed before the authority is crucial for the person to exercise his right to defend himself. This position in law is settled as evidenced by a litany of cases where quasi judicial proceedings have been struck down for non disclosure of material.⁵

However, confusion arises when the question is regarding the extent and content of the disclosure to be made to the aggrieved party. This question again lends itself to judicial uncertainty. Courts decide the issue in relation to a particular case. For example, it has been held that if the gist of documents against the party affected has been brought to his notice, then the non supply of copies would not violate natural justice.⁶ The case dependent adjudication rather than rule based adjudication of the issue is inimical to a clear understanding of the scope of the materials to be disclosed. The standard of whether "prejudice is caused or not" leads itself to ad hoc approach based on the particulars of the case, thereby, hindering development of a cogent administrative practice around this issue.

Within the context of SEBI itself, the issue was discussed at some length by SAT in *PWC v. SEBI*. When PWC went to the Supreme Court, the Court provided clarification as follows:

- All statements recorded during the course of investigation shall be provided to the respondents.
- All documents collected during investigation shall be permitted to be inspected by the respondents.

An important component of fair hearing is the opportunity to the party to examine the material against him. As per existing case law, opportunity of cross examination is not considered an absolute right. Only when the court is of the opinion, that non availability of the right has

⁴J. Vilangan v. Executive Engineer, AIR 1978 SC 930.

⁵M.A. Jackson v. Collector of Customs, (1981) 1 SCC 198; Chairman, Prathma Bank, Moradabad v. Vijay Kumar, SIR 1989 SC 1977; Vrajlal Manilal and Co. v. Union of India, AIR 1964 SC 1643.

⁶Dewan Singh v. State of Haryana, AIR 1976 SC 1921

resulted in prejudice to the party, can it lead to vitiation of the proceedings. The Supreme Court has led the following guidelines on the question of cross examination as a component of natural justice:

*If the credibility of a person who has testified given some information is in doubt, or if the version or statement of the person who has testified, is in dispute, right of cross examination must inevitably form part of fair play in action but where there is no lis regarding the facts but certain explanation of the circumstances there is no requirements of cross examination to be fulfilled to justify fair play inaction.*⁷

It is important that the noticee have a right to cross-examine the witness if records indicate that evidence has been collected by recording statements of witnesses. The witness may be lying; may have not understood the query well; may have an axe to grind; or may just be accurate. If a witness says something that is controverted by another witness, finding out what version is more reliable is the essential job of judging the case. Therefore, cross-examination is a vital facet of natural justice.

2.2 Separation of powers

Separation of function is a principle of administrative law which ensures that persons in not a judge in his own cause. The independence and the objectivity of the adjudicative function is protected by restricting its combination with inconsistent functions such as prosecution, investigation or advocacy. Separation of functions serves to insulate judicial decision makers from off the record communications from executive staff members whose personal involvement in the proceeding is likely to impair their ability to give objective advice. Insulation of the judicial decision maker from the prosecutors and investigators also enhances parties' confidence in the impartiality of the decision maker and in the fairness of the proceeding.⁸

Indian courts have followed three basic categories when it comes to bias: personal, pecuniary and official or departmental. While the tests of personal or pecuniary bias can be adjudicated in standalone contexts, it is the doctrine of official bias that is structurally more significant. This is not an issue that has come up with the rise of independent regulators housing quasi judicial functions within the regulator itself, but have been dealt with in administrative functions of the traditional executive.

One of the foundational cases that dealt with official bias is that of *Gullapalli Nageswara Rao*

⁷K.L. Tripathi v. State Bank of India, AIR 1984 SC 273.

⁸https://chicagounbound.uchicago.edu/cgi/viewcontent.cgi?article=11874&context=journal_articles

v. *APSRTC*. In this case, a scheme for nationalisation of motor transport was notified by the State Government. In this case, as per the Scheme, any objections to nationalisation would be decided on by the State Government, and the designated officer for the same was the Chief Minister. However, the officer who received objections from the parties against the scheme or nationalisation was the secretary of the Transport Department. One of the parties in the dispute was the Transport Department. The Court considered case law on departmental bias and held that it was a fundamental principle of natural justice that the authority empowered to decide the dispute between opposing parties should not be biased towards one side or the other. Further, it is also required that a person interested in one party or the other, should not take part in the proceedings irrespective of proof being adduced as to whether he influenced the mind of the person who finally takes the decision. Based on this, the Court held that even if the order is formally passed by the Chief Minister, the hearings given by the Transport Secretary offends the principle of natural justice, and the proceedings conducted by him, in violation of that principle, are bad.

3 How does SEBI perform on due process?

As we think about the enforcement functions of the Data Protection Authority (DPA), it is useful to reflect on the experience of the capital markets regulator, the Securities Exchange Board of India (SEBI) for three reasons.

First, SEBI is one of the oldest (other than the Reserve Bank of India) regulator in the country. It was instituted under the Securities and Exchange Board of India Act, 1992, with a mandate of investor protection, regulation of the securities and the promotion and development of the securities market. It has considerable powers of enforcement and this experience has been used to design such functions at other regulators, such as the IRDAI and PFRDA. Second, when designing the legal and regulatory framework for new institutions, the practice in India has been to borrow from existing “successful” institutions. As SEBI is one of the oldest such institution in the country, it is highly likely that the regulations surrounding enforcement at the DPA will be similar to the one at SEBI. Third, the existence of the Securities Appellate Tribunal (SAT) where SEBI orders can be challenged provide an opportunity for orders of SEBI to be xxx in appeal.⁹

⁹Regulators such as IRDAI and PFRDA came under Appellate Oversight of the SAT only in recent times.

Table 1 Summary of cases at SAT: October 2019 - March 2020

	Number
Cases at SAT	200
Cases overruled (for show-cause reasons)	66
notice	57
examination	9

3.1 Evaluating SEBI

We study six months of SEBI orders and their subsequent appeal to the SAT. The period we undertake for assessment is between October, 2019 to March, 2020. Table 1 shows us the overview of cases that were over-turned by SAT on grounds of notice and examination of materials.

As is seen in the Table, almost 33% of cases at SAT over the six months period were over-ruled. Of the cases over-ruled 86% were related to issues of notice and 14% to issues of examination of materials. In what follows, we provide examples of gaps in the enforcement process at SEBI. It is important to bear in mind that these are just a few examples to illustrate the problem, and are not comprehensive in nature.

3.1.1 Notice

An infraction of principles of natural justice in SEBI enforcement proceedings is evinced at the first stage namely that of issuance of notice. In relation to issuance of notice, appellants have used the following two grounds to argue the setting aside of the WTM's order.

- *Non service of show cause notice*: Issuance of show cause notice is a *sine qua non* in enforcement proceedings. It allows the party against whom proceedings are instituted to know the case it has to meet. While this argument relates to the content of the show cause notice, non serving of the notice obfuscates the factum of there being a case at all against the party under investigation.

In *Vipin Sharma v. SEBI*, it was found that the a company was restrained for 5 years and the director for 1 year from accessing the securities market. The director had since resigned from the company. The show cause notice was sent to his address that was thought to be the corporate address of the company. The appellant argued that non service of show cause notice, in effect made the order, akin to an *ex parte* order. SAT agreeing with this contention, directed that the appellant be served a show cause notice by the WTM based on which new proceedings shall be initiated.

Similarly, in the case of *Romit Mehta v. SEBI*, the appellant contended that he came to know of proceedings against him only on the receipt of a recovery certificate for the fine imposed. The postal service notice was returned undelivered, while the email was sent to a wrong email address. SEBI argued that since the emails did not bounce back it was presumed that the show cause notice was duly served. SAT held that the proceedings were vitiated in light of non service of notice and remanded the matter back to the adjudicating officer for considering it afresh.

- *Inordinate delay in issuance of show cause notice*

The second issue pertaining to notice was that of inordinate delay in issuance of show cause notice. Typically, in cases involving such a plea by the appellant, the show cause notice was issued years after in relation to when the infraction had occurred. For example, in the case of *Ashlesh G. Shah and others v. SEBI*, 9 appeals were disposed off on the ground of delayed issuance of show cause notice. While the violations occurred in 2010, the show cause notice was issued in 2017, i.e. almost 7 years later, for which no explanation was given. SEBI took the plea that the delay was due to reasons of change in officers of the investigation department and delay in the approval of show cause notice. However, the SAT observed that "the grounds shown by the respondent in its additional affidavit only indicates the lackadaisical attitude in proceeding against the entities. It is quite clear that no urgency was shown by the respondent to culminate the proceedings and it has moved at a leisurely pace." SAT quashed the proceedings against the entities while noting that although there is no period of limitation prescribed in the Act and regulation for issuance of show cause notice or for completion of the adjudication proceedings, the authority is required to exercise its powers within a reasonable period.

3.1.2 Examination of materials

Being allowed to examine materials allows the party to know the evidence it has to refute. Non disclosure of materials negates the party a real and effective opportunity to meet the case against it. In the context of SEBI itself, it was a pivotal issue in the case of *PWC v. SEBI*, the case went up in appeal upto the Supreme Court on the question of whether PWC should be allowed to examine witness statements relied to in the show cause notice. The Supreme Court observed that it "finds no justification to examine the matter in detail". As a result the appeal was disposed off in 2017, "with some simple clarifications" as follows:

- All statements recorded during the course of investigation shall be provided to the respondents.
- All documents collected during investigation shall be permitted to be inspected by the respondents.

- The authors of such statements (recorded during investigation), which are to be relied upon (against the respondents), shall be offered for cross-examination to the respondents.

Despite such categorical reiteration by the Supreme Court on examination of materials, we find that in the period under examination, pleas relating to violation of principles of natural justice have been taken by appellants on grounds of denial of examination of relevant materials. For example, in *Hemant Sheth and others v. SEBI*, 12 appeals were clubbed together on the ground of non sharing of relevant materials by SEBI. SEBI did not share documents on which it calculated the penalty. The company's understanding of its profits was very different from SEBI's understanding of its profits. Therefore, on the question of penalty SAT ordered that SEBI shall provide date wise details of trading and bring out details of calculation of profits to all the appellants and thereafter recalculate the amount of disgorgement against the appellants and pass an order within three months from the date of this order after giving an opportunity of hearing.

Similarly, in the case of *Dhirajbhai Sanghvi v. SEBI*, 9 appeals were clubbed on the matter of non sharing of relevant materials. It was contended that the AO has relied upon order logs, trade logs and investigation report which was not part of the show cause notice nor such investigation report, trade logs were supplied. SAT without going into the veracity of the submissions made by both parties allowed the appeals on the short ground of violation of principles of natural justice.

3.2 What might be the problem?

The process of enforcement at SEBI is governed by the following legal instruments:

- *SEBI Act*: The SEBI Act is the parent legislation under which SEBI was constituted. It defines various offences for which SEBI is the enforcement authority and the punishments it can levy. It also provides for the establishment and jurisdiction of the Securities Appellate Tribunal.
- *Rules and regulations*: Under section 29 of the SEBI Act, the Central Government has the power to make rules for the carrying out of the purposes of the Act. Under Section 30, SEBI has powers to issue regulations (?).

The process of enforcement at SEBI begins with either an inspection or investigation. Investigations are conducted when SEBI suspects a possible violation.¹⁰ The decision on whether or not to undertake an investigation lies with SEBI. The member at SEBI has to write an

¹⁰See Section 11C of SEBI Act, 1992 for conditions when the Board may direct an investigation.

order appointing the investigation authority, and clearly state the reason why this particular investigation is being conducted.¹¹

During the investigation stage, the investigating authority is endowed with the following powers:

- *Ask for material*: The authority can require any person (and not just a regulated entity or the person who is suspected) to furnish books, information, records that it feels are relevant for the investigation. For example, in *Indian Council of Investors v. Union of India*¹², it was held that SEBI in exercise of its powers could seek call data records. These materials can be kept in custody for six months.
- *Examine persons on oath*: The authority can examine any person associated with the securities market in any manner on oath. It is required to make notes of this examination, and read the notes and get them signed by the person being investigated.¹³
- *Seizure of material*: SEBI can seize material (such as books, registers, or other documents) that it thinks constitute important evidence but can get destroyed in the hands of the accused. It, however, has to apply to the designated court to obtain such an order.

If a person does not comply with directions of the investigating authority, he could be criminally punished with imprisonment upto one year, along with fine, or both, with the fine being extendable to one crore rupees along with a further fine of five lakh rupees.¹⁴ SEBI does not have to the court to impose such penalties. It is empowered by the Act to do so itself.

Once the investigation is complete, the authority submits an interim or final report that is circulated to senior officers of SEBI. These officers decide whether any enforcement action needs to be initiated. The report is then forwarded to the WTM to decide on the future course of action. On finding of evidence of misdemeanour, SEBI may issue a show cause notice to take(?) action

None of these provisions provide any guidance on how the regulator should follow due process of law. It is left to the regulator to follow principles of natural justice in serving a notice, or allowing access to materials.

¹¹The authority is appointed depending on the nature of proceedings (such as remedial and preventive, civil penalties, and criminal prosecution).

¹²*Indian Council of Investors v. Union of India*, [2014] 186 Comp Cas 512 (Bom)

¹³See Section 11c(7) and 11(7) of the SEBI Act.

¹⁴Section 11C(6), SEBI Act, 1992.

3.3 Separation of powers at SEBI

Before we examine the question of separation of powers, it is useful to briefly describe the enforcement structure at SEBI. There are two relevant authorities for enforcement proceedings - the adjudicating officer (AO) and the Whole Time Member (WTM). Both of these are housed within the regulator.

- *Adjudicating Officer*: The adjudicating officer is appointed by the Board for the purposes of judging whether there has been a violation¹⁵ and imposing monetary penalty. While conducting the inquiry, the adjudicating officer has the power of summoning, requiring attendance of persons and production of relevant records. The Officer can also levy a penalty upto INR 25 crores or upto three times of the profit made due to the contravention under various sections. An appeal from the order of the adjudicating officer can be made to the Securities Appellate Tribunal. The Board has been given the power to examine the record of any proceedings if it considers that the order passed by the adjudicating officer is either erroneous or not in interests of the securities market.
- *WTM* - The WTM exercises enforcement powers such as:
 - Calling for information from persons associated with the securities market.
 - Undertaking inspection of any document of a listed company / company intended to be listed on reasonable grounds of insider trading, fraudulent and unfair practices.
 - Power to issue directions to persons associated with securities market in the interests of the market and the investors and order disgorgement of wrongful gain made or loss averted.
 - Order investigation into the affairs of a person associated with securities market in case it has reasonable grounds to believe that there has been a violation of the Act or regulations made thereunder or that the transactions are done in a manner detrimental to investors.

For the purposes of calling for information and inspection, the Board itself gets the power vested in a civil court relating to discovery and production of records; summoning, enforcing attendance and examining persons on oath and inspection of documents.

For conducting an investigation, the WTM appoints an Investigating Authority, who has to submit its report based on which the WTM will take decision. Unlike the adjudicating officer, the designation of the investigating authority is not mentioned in the Act, and may be gleaned from individual regulations. For example, the SEBI (Prohibition of Fraudulent and Unfair Trade Practices Relating to Securities Market) Regulations, 2003 provides that the “investigating authority” means any officer not below the rank of Division Chief. Even

¹⁵Violations are listed under sections 15A-15HB.

as the investigation is pending, the WTM has been endowed with considerable powers of enforcement in the interim. For example, the WTM can suspend trading of a security on the stock exchange, restrain / prohibit persons from accessing the securities market, impounding and retaining proceeds or securities in respect of a transaction etc.

The structure of the Adjudication officer and the WTM, both, are problematic from a separation of powers perspective. First, the Division Chief who is designated as the adjudicating officer is a regular employee of the regulator, thereby, leading to a strong supposition of departmental bias. Second, the power to conduct an inquiry and pass an order have been concentrated in the same official. Third, the WTM has been given considerable powers of enforcement while itself being housed within the regulator. There is no indication of how independence of an entity that has almost penal powers may be maintained within the regulator. Finally, the entity recommending the initiation of the investigation and the one sitting on adjudication over it once the report is submitted leads to the presumption of prejudice.

4 International experience

To understand the manner in which investigative and enforcement powers are exercised by other similar organisations, the paper studies the Securities and Exchange Commission of the US and the Financial Conduct Authority of the UK. The Securities and Exchange Commission (SEC) is concerned with enforcement of the securities law. It was constituted under the Securities Exchange Act, 1934 with the aim to protect investors, maintain fair, orderly and efficient markets and facilitate capital formation.¹⁶ The Financial Conduct Authority (FCA) was set up under the FSMA, 2000.

4.1 The structure of enforcement

The parent legislation of both the SEC and the FCA provide statutory authority to the agencies to conduct any investigation necessary to determine whether a person has violated the respective laws and the rules and regulations promulgated thereunder. However, the exercise of investigative and enforcement powers of a regulatory agency are tempered by various sources such as parent legislation of the regulatory bodies, regulations that they promulgate, best practice guides that direct internal procedures and the overarching administrative law of the concerned jurisdiction. The powers of the regulators, therefore, are either constrained

¹⁶The SEC is organised into four primary operating divisions, out of which the largest is its Division of Enforcement. Apart from the head office, headquartered in Washington DC, there are eleven regional offices, each of which has an Enforcement Division.

through detailed procedures embedded in the parent legislation, or through what can be called as the “invisible infrastructure” that governs the actions of all State agencies. The following are examples of structures that guide investigation and enforcement in the SEC and FCA.

Overarching Acts An example of this invisible infrastructure, that drives behaviour at various government agencies is the Administrative Procedure Act, 1946 in the US. The APA classified different types of agency decision making and provided a set of procedural rules to govern that decision making in every respect. It treats agency actions as either quasi-legislative or quasi judicial, and requires agencies to follow several administrative procedures for both types of action, with more formal procedures for adjudicatory functions. By providing an effective method for regulating agency action, the APA preserved individual rights from being abused by exercise of administrative power.

Specific legislation’s pertaining to the Agency The Securities Exchange Act, 1934 is the primary constitutive legislation for the SEC. Section 21(b) and (c) of the Act provides the SEC with investigation powers.¹⁷ Based on the information collected, under section 21(3), the Commission has been given the authority to bring an action in a United States District court to seek a civil penalty on the person committing any such violation. Alternatively, the Commission may begin an administrative against the purported violators. The SEC is also required to set up *The Rules of Practice* which give a specific formulation to the broad powers enshrined in the Securities Exchange Act, 1934. This formulation is done in compliance with the Administrative Procedure Act, 1946 that is required to be followed by all regulatory bodies while undertaking adjudicatory functions.

The FSMA is more detailed than the SEC on the regulation of enforcement as there is no over-arching APA style legislation in the UK. The FSMA however, covers only certain aspects of the enforcement cycle, delegating the authorities to issue procedures and further rules on the matter. Under section 395 of the FSMA, there is an express requirement for the FCA to issue a statement of procedures relating to:

- the giving of supervisory notices, warning notices and decision notices;
- the publishing of information about matters to which certain warning notices relate.

What is important to note is that the law requires the regulatory agency to issue statements that outline the procedure of enforcement.

Guides and manuals In addition to the parent legislation, agencies in both the US and the UK are required to produce an “Enforcement Manual” in the public domain which contains various general policies and procedures and is intended to provide guidance to the Division staff. The UK in fact, has two manuals: a) the Enforcement guide describes the

¹⁷The broad powers relating to this are: a) Administration of oaths and affirmations, b) Subpoenaing witnesses and compelling their attendance and c) Production of records.

FCA’s approach to exercising the main enforcement powers given to it under the FSMA, 2000. It provides an overview of the enforcement policy and process, FCA’s approach to enforcement, the use of its main information gathering and investigation powers under the Act, the conduct of investigations, settlement and publicity, and b) Decision Procedure and Penalty Manual which sets out FCA’s decision making procedure for giving statutory notices, warning notices, decision notices and supervisory notices. It also lays down FCA’s policy with respect to the imposition and amount of penalties under the Act.

The objective of this is to increase transparency and accountability in enforcement proceedings.

4.2 Processes for better enforcement

4.2.1 Notice

As discussed earlier, a notice is a critical component of any enforcement proceedings, as it conveys the allegations on which a defence can be made. Both the US and the UK have detailed guidelines on how a notice is to be written, and what constitutes a notice.

In the US, the Rules of Practice for the Commission specify the manner in which notice is to be served. These include rules on who should the notice be sent to,¹⁸ the way in which a notice should be sent,¹⁹ the specifics of what a notice must contain. It is important to elaborate on the specification of the contents of the notice, as this is an area where the Indian regulators have been found to be wanting. The specification of contents of the notice in the US SEC includes:

- The notice should state the nature of the hearing.
- It should state the legal authority and jurisdiction under which the hearing is to be held.
- The notice should contain a brief statement of the facts and law that is to be applied.
- In case, the party has a right to hearing, the order shall set forth the factual and legal matters in a manner that would allow the party to give a specific response thereto.
- It should state the nature of any relief or action sought or taken.

The UK also has detailed processes embedded in the FSMA, 2000 for sending notices. The Act specifies what kind of a notice is to be issued, and who can be the issuing authority for a specific notice (the FCA or the RDC). The first of these is the “warning notice”²⁰ or the “show cause notice” in India. The warning notice is actually based on a “preliminary investigation report” that is filed by the enforcement division of the FCA to the RDC, which then must

¹⁸Rule 141 specifies who is an authorised person to send a copy of the order instituting proceedings.

¹⁹Rule 141 specifies different ways in which service may be made to individuals, corporations or entities, persons registered with the commission and persons in a foreign country.

²⁰Section 387, FSMA 2000

decide, whether the enforcement division has made enough of a case for there to be a reason to serve a show cause notice. The FSMA Act also recognises that preliminary findings letters serve a very useful purpose in focusing decision making on the contentious issues in the case. This in turn makes for better quality and more efficient decision making.²¹

Once the RDC is convinced, and a notice has to be sent, the FSMA requires that such a notice must adhere to the following:

- State the action which the authority proposes to take
- Be in writing
- Give reasons for the proposed action
- State whether section 394 applies i.e. the party's right to access Authority material.²²
- Reasonable period (not less than 28 days) within which the person is allowed to make representations which is extendable.

Many a times, the investigators may not know the identity of the perpetrator at the outset. In such a case, the FCA has to give indication of the nature and subject of its investigation to those who are required to provide information to assist with the investigation. Once the FCA knows the person it is investigating, the person will be notified.²³

4.2.2 Separation of powers

One of the critical elements of better regulatory governance is separation of powers. This is maintained both in the US and the UK.

In the case of the SEC, the rule of separation of powers stems from the Administrative Procedure Act. Section 554(d) of the APA provides that an employee or agent engaged in the performance of investigative or prosecuting functions for an agency in a case may not, in that or a factually related case, participate or advise in the decision, recommended decision or agency review. In accordance with this Rule 121 requires separation of personnel involved in prosecutorial and investigative functions from decision making in those cases. In furtherance of this, the institution of the Administrative Law Judges has been set up for the SEC.

In the UK, while the judicial wing is part of the FCA, it is autonomous. It is called the Regulatory Decisions Committee (RDC). The RDC is an autonomous decision making body

²¹However, there are exceptional circumstances in which the FCA may decide it is not appropriate to send out a preliminary findings letter.

²²Access to Authority material is explained in the following subsection

²³The only circumstance where this does not happen is if doing so would prejudice the FCA's ability to conduct investigation effectively.

of the FCA. Technically, it is a committee of the FCA Board, but it is operationally separate from the FCA. Its autonomy is maintained via measures such as separation from executive management at the FCA, its own legal advisors and support staff being separate from the FDC, the power to ask FCA staff for additional information, explanations regarding any investigation or FCA recommendations.²⁴

4.2.3 Examination of materials

There are detailed requirements in the FSMA Act on the material that the accused is allowed to access from the regulators to prepare her defence. Section 394 of the Act for example requires the Authority to give the party access to

- Material on which it relied in taking the decision which gave rise to the obligation to give the notice;
- Allow him access to any secondary material which, in the opinion of the Authority, might undermine that decision.

While the Act does allow for several grounds for this to be denied. If the FCA does not allow the party access to material, it has to give the party written notice of a) the existence of the protected item and b) the FCA's decision not to allow the party access to it along with the reasons for such refusal.

In the US as well, there are clear rules (Rule 230 of the Rules of Practice) that define the scope of documents that are to be made available for inspection and copying. The rule requires the Division of Enforcement to make available any party documents obtained by the Division prior to the institution of proceedings, in connection with the investigation leading to the Division's recommendation to institute proceedings. The rule provides an illustrative list of documents covered under its scope:

- subpoenas issued
- written requests to provide documents or to be interviewed
- documents turned over in response to such subpoenas or requests
- all transcripts and transcript exhibits
- any other documents obtained from persons not employed by the Commission

The Commission is entitled to withhold documents that are mentioned by the rules.²⁵

²⁴The RDC has no power under the Act to require persons to attend before it or provide information. It is not a tribunal and will make a decision based on all the relevant information available to it, which may include views of FCA staff about the relative quality of witness and other evidence.

²⁵These can include documents which are privileged, which are internal memorandums, that identify a con-

4.3 ICO's enforcement powers under the DPA, 2018

We have so far discussed the processes at the SEC and FCA, both of which are not data protection regulators. We turn to examining similar issues in a data protection context.

The Information Commission Office in the UK is the designated regulator for the enforcement of the Data Protection Act, 2018. Enforcement of the Act takes place either via regulatory proceedings conducted by the ICO or by criminal prosecution of offences under the Act. In the latter, the role of the ICO is that of the prosecutor. It has the discretion in deciding whether an offence is to be prosecuted. The procedure to be followed in such a case is the generic CPS Code for Crown Prosecutors. In regulatory proceedings, it is the ICO that conducts the regulatory proceedings and sits in adjudication of the proceedings. This section concerns discusses the regulatory enforcement powers of the ICO.

The ICO uses its enforcement powers by way of issuance of a variety of notices, namely the information notice, the assessment notice, the enforcement notice and the penalty notice. Section 160 of the DPA, 2018 requires that the Commissioner publish guidance on how it would exercise its functions under its enforcement powers, with specific emphasis on providing guidance in relation to the notice. This is understandable because the four notices form the cornerstone of the enforcement powers of the ICO. Pursuant to this, the ICO has published the Regulatory Action Policy, which seeks to “set out the nature of the ICO’s various powers in one place and to be clear and consistent about when and how the ICO uses them”. Given that the notices are issued by the same entity which conducts the proceedings post the issuance, it seems that such guidance documents reduce abuse of discretion by increasing transparency with the regulated entities. The nature of the notices also reflect a graded approach towards enforcement as outlined in the Regulatory Action Policy document.²⁶

A common right on the issuance of any of the notices is the right to appeal to the Tribunal. This is unlike the Indian jurisdiction where notices for providing information or inspection are not attached with a statutory right of appeal. The statutory right of appeal is a check against abuse of discretion by the Commissioner in issuing such notices. The right of appeal is made meaningful by requiring:

- First, that the period for compliance stated in the notice should not fall before the period within which an appeal can be brought against the notice.

fidential source. The hearing officer does have some discretion on whether to withhold a document subject to certain conditions. However, The rule specifically excludes from the list of exempted documents, documents that contain exculpatory evidence.

²⁶The notices are described in more detail in the Appendix

- Second, in case an appeal has been filed against the notice, pending the determination of the appeal, there is no requirement to comply with it.

However, these rights do not apply if the Commissioner designates the notice as an “urgent” notice. A notice becomes urgent when the notice mentions that it is to be complied with urgently and the Commissioner provides reasons for reaching that opinion. In such cases of “urgent notices”, the entity issued the notice can file an appeal against the “urgent” designation of the notice. The provision of such statutory appeal protects the regulated entity against arbitrary designation of the notice as “urgent”, which otherwise has an implication of reduced timelines for compliance and circumvention of rights of appeal. The entity issued an urgent notice can apply to the court for direction to vary the notice by changing the time provided for compliance or direct that the notice not contain the urgency statement.

Therefore, even as the principle of separation of powers is not followed, given that the entity issuing the notice is the same as the one conducting the investigation, the appealability of the notices play an important function in curbing the discretion of the Commissioner. Apart from providing a right of appeal for notice issued before the penalty notice, the discretion of the Commissioner by requiring that the notices of information, assessment and enforcement carry the following information:

- the reasons for issuance of the notice:
 - In case of information notice, the Commissioner is required to mention the specific grounds on which the notice has been issued along with the reasons for requiring such information.
 - In case of assessment notice, there is no express statutory requirement for mentioning the reason for inspection, examination of documents and search of premises.
 - In case of enforcement notice, the notice must state what the person has failed to do and the reasons for the Commissioner for reaching that opinion.
- specification of the period within which the requirement must be complied with
- the consequences of failure to comply with it
- the rights of the entity issued the notice to appeal against the notice

5 Implications for the design of the DPA

Our analysis suggests that Indian regulators do not have any guidance on processes to be followed during enforcement actions. Even the best of the regulators in India such as the SEBI have failed at some of the most basic processes of sending notices, providing material and at

the broader question of separation of powers. Our analysis also suggests that internationally, *due process* is codified in the law or the regulations, and is usually accompanied by process manuals as well as ability to appeal decisions at the courts - all of which serve as a check on the regulator.

In this section we turn to evaluating what changes we can add to the proposed draft Bill so as to embed principles of natural justice within the legal framework itself. Before we spell out the recommendations, we lay out the enforcement powers of the DPA to provide the context in which these principles have to be drafted.

5.1 Enforcement by the DPA

The draft Personal Data Protection Bill, 2019, envisages the setting up of a “Data Protection Authority” to enforce the provisions under the law. The Authority is vested with powers of enforcement that are similar to those of other Indian regulators. For example, the DPA has the power to either *suo motu* or on a complaint take action against a data fiduciary or a data processor who may be violating the law. As per the draft Bill, the Authority has three broad enforcement powers:

- *Issuance of directions*: Under section 62 of the Act, the DPA has the power to issue directions to data fiduciaries or data processors generally or to a class or individual data fiduciaries and data processors.
- *Power to call for information*: Section 52 gives the Authority the power (of a civil court) to call for information from any data fiduciary or data processor that may be reasonably required by Authority to discharge functions under the Act.
- *Conducting inquiries*: Section 53 gives the Authority to undertake an inquiry, either on a complaint or *suo motu* if it has reasonable grounds to believe that the activities of the data fiduciary or processor are either detrimental to interests of data principals or being carried out in contravention of the Act. While conducting the inquiry, the assigned inquiry officer at the DPA will have the following powers:
 - Discovery and production of relevant documents
 - Summoning and enforcing the attendance of persons and examining them on oath
 - Inspection of any book, document, register or record of any data fiduciary
 - Issuing commissions for the examination of witnesses
 - Search and seizure powers by application to designated court

The report of the inquiry officer is to be forwarded to the Authority, who will give the party an opportunity to make a representation in a manner the Authority "*deems reasonable*" (emphasis supplied). On the basis of the report and the representations made,

the Authority can issue an order of the following nature:

- *Injunctive relief*: Issuance of warning, reprimands, cease and desist orders, temporary suspension or discontinuance of business activity.
- *Issuance of directions*: Require the business activity be modified to bring it in compliance with the provisions of the Bill.
- Variation, suspension or cancellation of registration of significant data fiduciary.

However, in case of the right to be forgotten and levying of monetary penalties in case of failure of compliance with the directions of the Authority. The Adjudicating Officer is supposed to conduct his own inquiry and pass the appropriate orders. goes against the rules of fair hearing, as the power of inquiry and adjudication in case of penalties are housed within the same entity i.e. the adjudication officer. The adjudication officer will first conduct the inquiry and based on the same levy financial penalty.

These powers are similar to that of SEBI, and the law is equally silent on what processes will have to be followed by the regulator as it uses this powers to discharge its functions.

Also, similar to other regulators, the adjudication wing is to be housed within the DPA. Even though Justice SriKrishna Committee on data protection had recommended that "adjudication wing should function at arm's length from the remaining wings of the DPA which deal with legislative matters and executive enforcement", the Bill has no details on how this is to be implemented.

Since the DPA is going to be a cross-cutting regulator across various sectors, it is extremely important to ensure that the regulator adheres to the principles of natural justice. There are some problems that are obvious with the proposed setting. For example, the Bill subjects everything to the discretion of the Authority on the presumption that the Authority will be fair. The structure of enforcement raises some questions from a separation of powers perspective. The power of inquiry and adjudication in case of penalties are housed within the same entity but the law is silent on any requirement to keep the two distinct and separate. The adjudication officer will first conduct the inquiry and based on the same levy financial penalty. This leads to a strong supposition of bias. It is also unclear how the independence of the adjudication is to be maintained when the wing is to be housed within the DPA. Moreover, there are concerns that the adjudication officers will not be judicially trained officers, but bureaucrats, which does not allay concerns of bias.²⁷

²⁷<https://thewire.in/rights/data-protection-bill-a-serious-threat-to-press-freedom>

5.2 Recommendations

While the meta solution lies in fixing administrative law in general by attempting to have context neutral resolution of the status of natural justice rights, our immediate focus is on the lessons that the DPA can learn to not repeat mistakes of the existing Indian regulators.

In this context, the foremost, is to understand first, which constituents the enforcement process benefit from the exercise of regulatory discretion and which do not, and second, the safeguards for such discretion to not be abused. Based on this classification, the regulatory approach to be taken to these issues become clearer. For example, the first step of enforcement process is case selection. Case selection is a point of intervention that determines what and how the regulatory agency wants to pursue its regulatory objectives. As pointed out previously, regulators take this stage very seriously because it also means how their limited resources are going to be utilised. Discretion in this case serves an important function. As discussed above, the regulators such as the FCA and SEC guide this discretion by providing multitudinous criteria on first, whether the regulatory infraction would best be addressed by an enforcement process, and second, as to which case has to be given priority over those that qualify for the application of the enforcement process.

The next question to be answered is where such criteria is to be mentioned. A choice to be made between the statute, regulations and manuals, involves two considerations. The first consideration is whether the provision is to be lent legal enforceability. In case the provision is to be legally enforceable, the inclusion would be warranted in the statute or the regulations made by the regulatory agency, if not, the same would be included in process manuals and guidance notes that are not considered binding on the regulator.

The second consideration is the kind of flexibility that a provision entails. A statutory provision is not as easy to amend as a provision in the regulations, since the former requires to be passed while the Parliament, while the latter is usually within the legislative purview of the regulator itself. Based on these considerations, it would be prudent to include case selection criteria in the DPA's process manuals and guidance notes.

The next issue that we cull out from our research is the inclusion of a clear formulation of procedural rights. Both the SEC and the FCA, have it included within their regulations and statute respectively. The reason for its inclusion in statute by one and regulations by the other seems to be two fold. First, in the US, the Administrative Procedure Act, 1946 requires that the federal agencies formulate rules of practice based on it. UK has no general overarching statutory law on administrative law. Administrative law in the UK is sourced in common law, therefore, each regulator is required to provide its own procedural rules. Second, the SEC is

governed by the Securities Act, 1933 as compared to the FCA whose enforcement is governed by the relatively recent Financial Services and Markets Act, 2000. The intervening 70 years have seen the rise of regulatory agencies and a related development of discourse on enforcement processes followed by these agencies. This is also reflected in the Data Protection Act, 2018 of the UK which embodies similar rules on procedure. In the context of the DPA, an inclusion of the procedural rights in the statute itself would be relevant. These provisions would specify a detailed outline of the show cause notice, the scope of the right of examination of materials, the procedure to be followed in case of ex-parte orders and the timelines of providing representation against each of the processes where such representation can be made.

Apart from the issue of inclusion of these rights in the statute, the other, and more basic issue, is the qualitative content of these rights. Since there is considerable confusion within the domestic law on this, reference is made to the Financial Sector Legislative Commission's report. The mandate of the FSLRC was to comprehensively review and redraw the legislations governing India's financial sector. In doing so, the FSLRC provided for a draft legislation of a consolidated financial regulator. The enforcement provisions of this draft legislation provide guidance on the questions of show cause notice and examination of materials. It requires that the show cause notice be in writing, state the action proposed to be taken and give the causes that inform such proposed action. Moreover, the action outlined in the decision order must relate to that in the show cause notice. It further provides that the notice should be confidential. Confidentiality of the show cause notice is an important issue tackled by other regulators also given the ramifications it could have on the reputation of the businesses. Roy et al. (2019) also argue that the stage of issuance of the show cause notice needs to be altered in India. Currently, it is issued at the stage of penalty requiring the party to show why penalty should not be levied against it. This goes against the presumption of innocence and the onus of proof is reversed. As opposed to this, Roy et al. (2019) argue that the show cause should be issued to allow the regulated entity why a case against it should not be pursued.

On the issue of cross examination, the FSLRC requires that the scope of show cause notice is to first, allow access to all material relied upon in issuing the show cause notice, and second, to allow access to any material that may undermine the decision that is taken by the regulator. These statutory provisions should be detailed in the regulations. The regulations would include the manner in which notice is to be served, the manner of providing opportunity of hearing (written submissions), the form in which materials are to be submitted to the regulated entity under its right of examination of materials etc.

While statutes and regulations are available in the public domain, there is merit in providing public access to the manuals and enforcement guides. Publication of manuals has an important

information function. This is recognised by the regulatory statutes in UK, which require the agency to provide guidance on how the regulator proposes to exercise its enforcement functions. For example under the Data Protection Act, 2018, the Commissioner is required to provide guidance on the issuance of its notices. For all such notices, the statute also provides the outline as per which the guidance has to be made. This includes factors considered in determining whether to give a notice, the nature of inspections and examinations that are to be carried and the manner in which the regulator will proceed in case of non compliance with a notice. Apart from information to the public, it also creates regulatory certainty and reduces deviation from established and best practices. For the agency, this translates into institutional memory and reduces scope for challenge to the procedure followed in enforcement actions.

Lastly, our recommendation relates to the requirement of separation of the investigative and adjudicative wings of the agency. As seen in the FCA and the SEC, the separation of functions is followed seriously. Although the Administrative Law Judges and the Regulatory Decisions Committee is housed within the SEC and FCA, a structural separation is maintained such that independence in functioning is ensured. The staffing and financing are independent of the regulator. Moreover, for the FCA, the distinction between the investigation and adjudication wings maintained to such an extent that the inquiry report is provided by the investigation officer to the Regulatory Decisions Committee who then decides whether a case is made out for the issuance of a warning notice. This distinction is not maintained in the Data Protection Act, 2018, but as pointed out earlier, the discretion of the Information Commissioner by making all types of notice appealable. In the Indian context, both in SEBI and the proposed DPA, the inquiry officer is the same as the one levying penalty, with only the decision order being challengeable before the Tribunal.

In proposing the ideal exercise of the functions and powers of the regulator, the FSLRC provides that once the investigation has taken place, the actual order should be written by a disinterested party. For this, the report proposes the creation of a cadre of administrative law officers who would not be engaged in any functions of the regulator except performing the quasi judicial functions. Currently, such distinction is not reflected in the Data Protection Bill. The Bill provides for assignment of an officer as the investigation officer. As gleaned from the SEBI experience, this officer is not structurally different from the rest of the organisation. The designation happens on a case to case basis, and the officer is involved in general functions of the regulator, as well. This leads to dilution of the separation between the investigation and adjudication wings. The FSLRC proposes that there should be an Administrative Law Member in the Board of the agency whose specific task would be to manage the cadre of administrative law officers. This would lead to the insulation of quasi judicial functions of the

regulator from executive, investigation and inspection functions. Appeals from the decisions of the administrative law officers would lie to the administrative law member. This process would act reduce the number of appeals to the tribunal by weeding out flawed orders.

6 Conclusion

As per the draft Data Protection Bill, a new regulator, the Data Protection Authority (DPA) will have the power to either *suo motu* or on a complaint take action against a data fiduciary or a data processor who may be violating the law. The DPA can, among other things, issue directions, call for information, conduct inquiries, issue orders for injunctive relief, suspend or cancel the registration of businesses. The DPA is also in a unique position given that the scope of its "regulated entities" will be, arguably, more extensive than any of the regulators previously established in India. This raises concerns about how principles of natural justice will be followed when discharging these functions.

In this paper we evaluate how the capital markets regulator, the Securities Exchange Board of India (SEBI) fares on issues of natural justice as it performs its enforcement functions. We focus on SEBI as it has relevance for the design of the DPA. Natural justice is a vast area, and we focus on three elements of natural justice - how are notices served, whether parties are allowed to examine material and cross-examine witnesses, and whether there is separation of powers, especially between the investigation and adjudication functions in the structure of SEBI. We use data on cases at the Securities Appellate Tribunal (SAT) and find evidence of several procedural failures at SEBI. What would improve these processes? We look at the structure of regulators in other countries - namely the US and the UK, and find that the processes that Indian law just assumes will be followed, are actually codified in laws, regulations and process manuals in these countries. Since the main regulator studied here was SEBI, our international comparison mostly emphasises comparable regulators in the US and the UK. This codification of processes for natural justice is an important lesson as we design the new data protection regulator.

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Appendix

Notices by the ICO

The individual notices issued by the ICO are as follows:

Notices for information gathering

Information gathering is an important power for a regulator. The ICO can compel information by issuance of information notice and assessment notices.

Information notice is an important enforcement tool for the ICO in that it compels the entity to whom such notice is issued to share such information as required by the notice. The Commissioner can ask for information reasonably required for discharge of its functions under the DPA, 2018, to investigate into a suspected failure of the data processors' or controllers' obligations or suspected commission of an offence under the Act. The Act, however, does not allow for a information notice with respect to certain information such as privileged informations (between the legal adviser and client, that which would infringe Parliament's privileges, information con-

sidered self incriminatory for an offence under the Act) or where the information is being used for special purposes under section 174 of the Act.

An information notice would mention the particular information or category of information which is sought, the form in which it may be submitted along with the time and place for such submission.

The Regulatory Action policy lists out factors that the Commissioner will consider in issuance of an information notice and its designation as an urgent information notice. In case of failure to comply with the information notice, the Commissioner can apply to the Court for an information order.

The second notice useful for information gathering is an assessment notice. An assessment notice is issued to enable the Commissioner to carry out an assessment whether the controller or processor is complying with the provisions of the Act. It gives the Commissioner greater powers than an information notice, in so far as the Commissioner can enter the premises and call for the relevant information. The nature of powers that the Commissioner may exercise on issuance of an assessment notice is entering of specified premises, call for documents on the premises and inspection and examination of documents, information, equipment or material on such premises. The Commissioner can conduct interviews during such assessments of the staff or relevant service providers.

In case of failure to comply with a requirement of the assessment notice, the Court can issue warrants for its compliance. The manner of execution of these warrants are provided in detail in Schedule 15 to the Act.

The Regulatory Action Policy outlines the circumstances that qualify for the issuance of an assessment notice and lists out factors when such notice will be designated as "urgent". It further elaborates on the aims that an inspection or examination pursuant to the assessment notice seeks to fulfil. Guidance is also provided about the manner of conducting interviews under an assessment notice.

6.1 Enforcement notices

Based on the information collected, the Commissioner can make a determination of whether or not a regulated entity has failed to comply with the provisions of the Act. An enforcement notice, stating what the person has failed to do and the Commissioner's reasons for coming to that finding, is issued to the concerned entity. The notice sets out who is required to take action and why and the specifics of the action to be taken.

There is no statutory right of a representation provided to the regulated entity before the Commissioner makes such determination. However, the regulated entity can go in appeal to the Tribunal against the notice.

The Regulatory Action Policy sets out the circumstances that qualify for issuance of an enforcement notice, the contents of the said notice, timescale for compliance and when such notice can be designated as "urgent".

6.2 Penalty notices

In case of failure of the entity to comply with the an information notice, an assessment notice or an enforcement notice, a penalty notice is issued. Before issuing a penalty notice, a notice of intent is issued. Its function is to inform the person that the Commissioner intends to issue a penalty notice. It should contain the reasons for issuance of the penalty notice. This would mean a description of the circumstances of the failure. Once the notice of intent is issued, the person is required to make written representations within the time specified in the notice. The opportunity to the entity to make oral representations lies within the discretion of the Commissioner.

After considering the representations made, the Commissioner decides whether the penalty notice is to be issued, as also the quantum of the penalty. However, recovery of the said penalty is not allowed unless any appeals against the penalty notice have been determined. This protects the regulated entity against immediate payment of penalty or attachment of property, as routinely happens in the Indian jurisdiction, where the property continues to be attached for the entire period during which appellate relief is pursued.

The Regulatory Action Policy provides a detailed map on how to calculate the penalty amount and the factors to be considered aggravating and mitigating in deciding the quantum of the penalty.